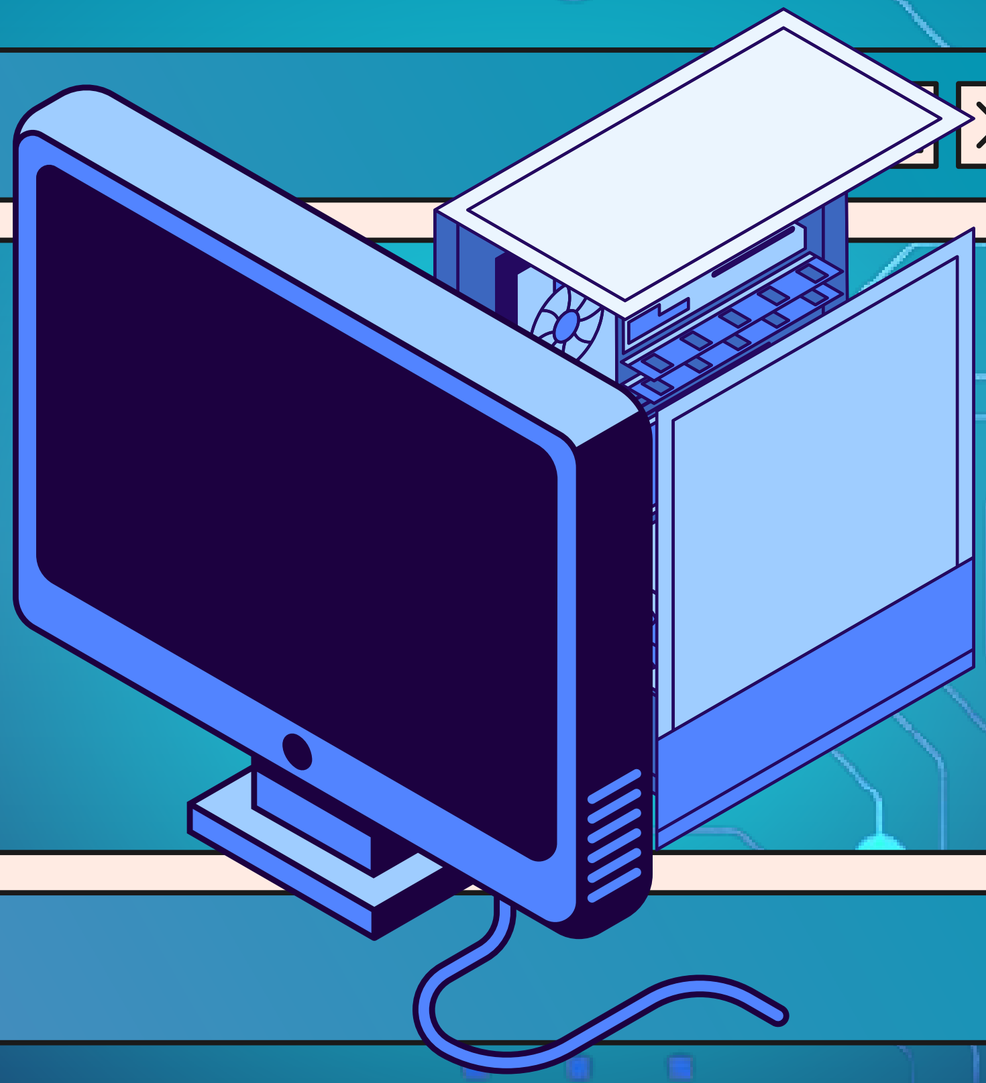
DATA-DRIVEN CRM STRATEGY FOR SPOTIFY

PROJECT TYPE:
CUSTOMER DATABASE ANALYTICS PROJECT



TEAM MEMBER: CHUANYANG CAO ISMAIL SALHI HABIB LAHLOU TZU-YI SUNG

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TITLE:

Why Spotify?
What Did We Analyze?

WHY SPOTIFY?

- Subscription-based business model
- Highly competitive streaming market
- Revenue highly dependent on customer retention
- Strong CRM and personalization relevance

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WHAT WE ANALYZED

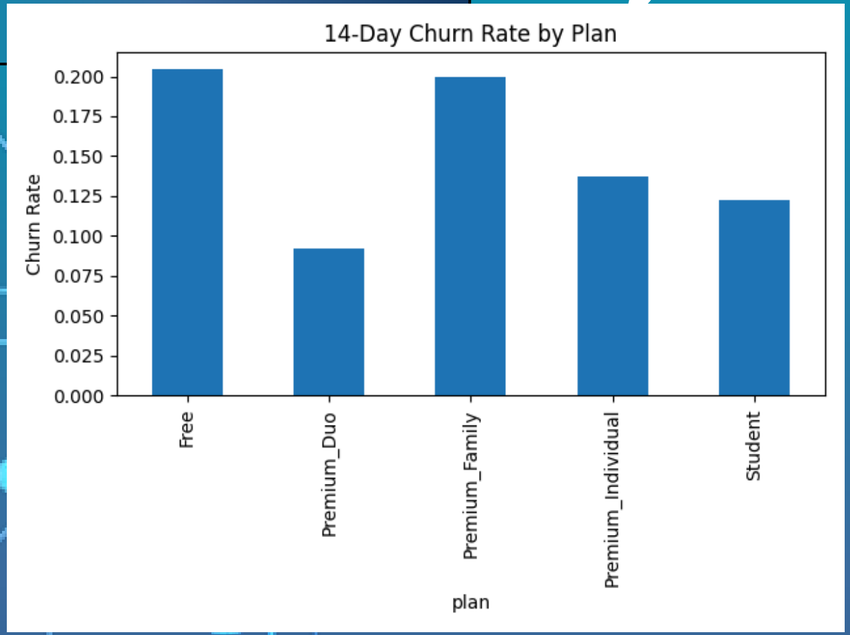
We focused on three strategic dimensions:

Customer Engagement
- Listening minutes
- Sessions
- Active days

Customer Retention & Churn
- 14-day churn definition
- Retention rate

Customer Segmentation & Value
- K-Means behavioral clustering
- RFM analysis
- CLV proxy estimation

Key Analytical Results



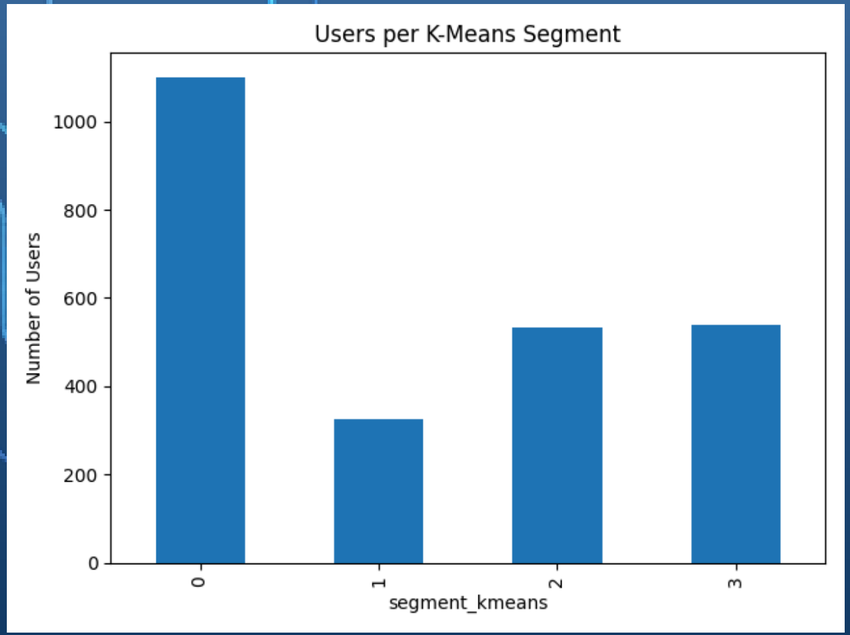


Photo Kiosk

TITLE: Segmentation & Churn Results

BEHAVIORAL SEGMENTATION (K-MEANS)

- 4 distinct customer segments
- Clear behavioral differentiation
- High engagement users show lower churn risk
- Low activity users represent high churn risk group

CHURN BY SUBSCRIPTION PLAN

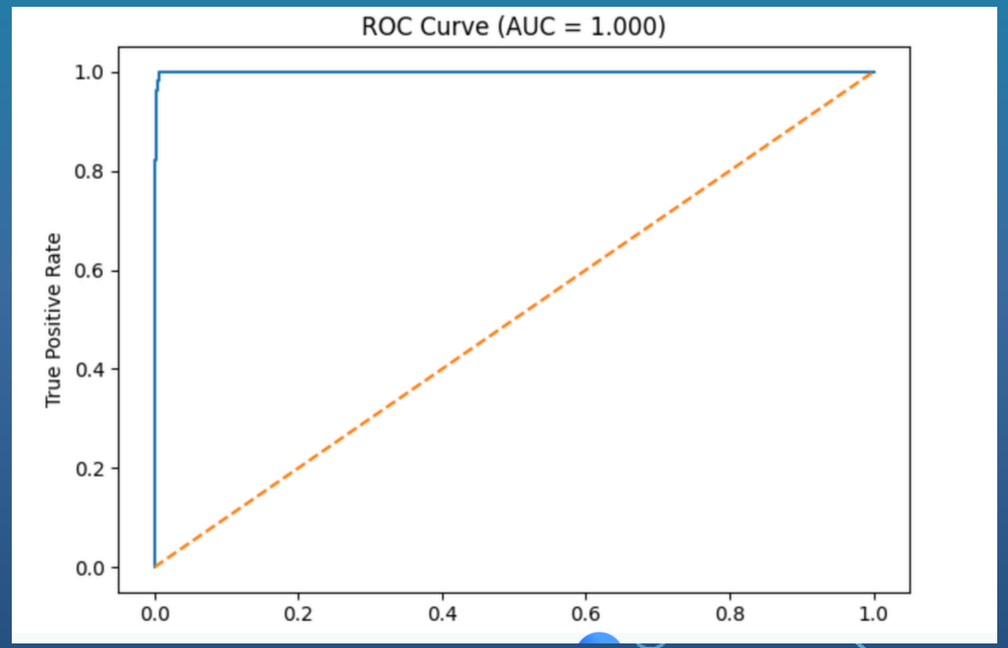
- Free users have significantly higher churn
- Premium users demonstrate stronger retention
- Subscription model positively impacts loyalty

Predictive Model & Strategic Conclusion

TITLE: Churn Prediction & Strategic Implications

Churn Prediction & Strategic Implications

- Logistic Regression model
- ROC AUC = 0.999
- Strong predictive power



Key Drivers of Retention

- Higher active days → lower churn probability
- Higher engagement → stronger loyalty
- Premium subscription reduces churn risk

Final Business Conclusion

Spotify can shift from:

Mass Marketing
→ to
Predictive & Personalized CRM

Spotify can shift from:

- Protect high-value users
- Reactivate low-engagement users
- Upsell frequent free-tier users
- Allocate retention budget efficiently

THANK YOU!

Exploring the future of computing together!